

The next strategy in the exhibit is fixed-percentage withdrawals. The initial spending rate for this strategy can be 9.49 percent, which is more than double the constant inflation-adjusted spending strategy. This initial spending level is higher because our focus is on calibrating downside exposure to wealth losses. In this case, the initial spending rate of 9.49 percent preserves remaining wealth after thirty years at just under \$15,000 in the tenth percentile as the PAY Rule requires.

Because the initial spending rate is high, there is a tendency for spending to decline with this strategy across the distribution of outcomes. By year thirty, the ninetieth percentile real spending level is only \$3,340. At the median, it is \$2,060, and at the tenth percentile it is \$1,400.

These are noticeable drops relative to both the initial spending level for this strategy and the spending supported by the baseline constant inflation-adjusted spending of \$4,180. This strategy experiences the highest initial withdrawal rate and the most significant spending decreases across the distribution. This is a clear example of the trade-off of allowing for a higher initial spending rate resulting in less spending for later in retirement. With this strategy, real spending has fallen by 65 percent in the ninetieth percentile, 78 percent at the median, and 85 percent in the tenth percentile. In terms of downside spending volatility, this strategy experiences relatively high average spending reductions. The averages for spending reductions range from 3 percent at the ninetieth percentile and median to 4 percent at the tenth percentile.

The next strategy is the endowment formula that provides a weighted average in which half of spending evolves with the constant inflation-adjusted strategy and the other half evolves with a fixed-percentage withdrawal of the remaining account balance. This strategy is a form of compromise between the two extremes previously discussed. The initial spending rate is 5.45 percent.

With this strategy at the ninetieth percentile, spending can increase in retirement. It is 28 percent higher by year thirty. However, at the median and tenth percentiles, retirees can expect a reduction in their spending potential. It is 22 percent less at the median and 41 percent less at the tenth